

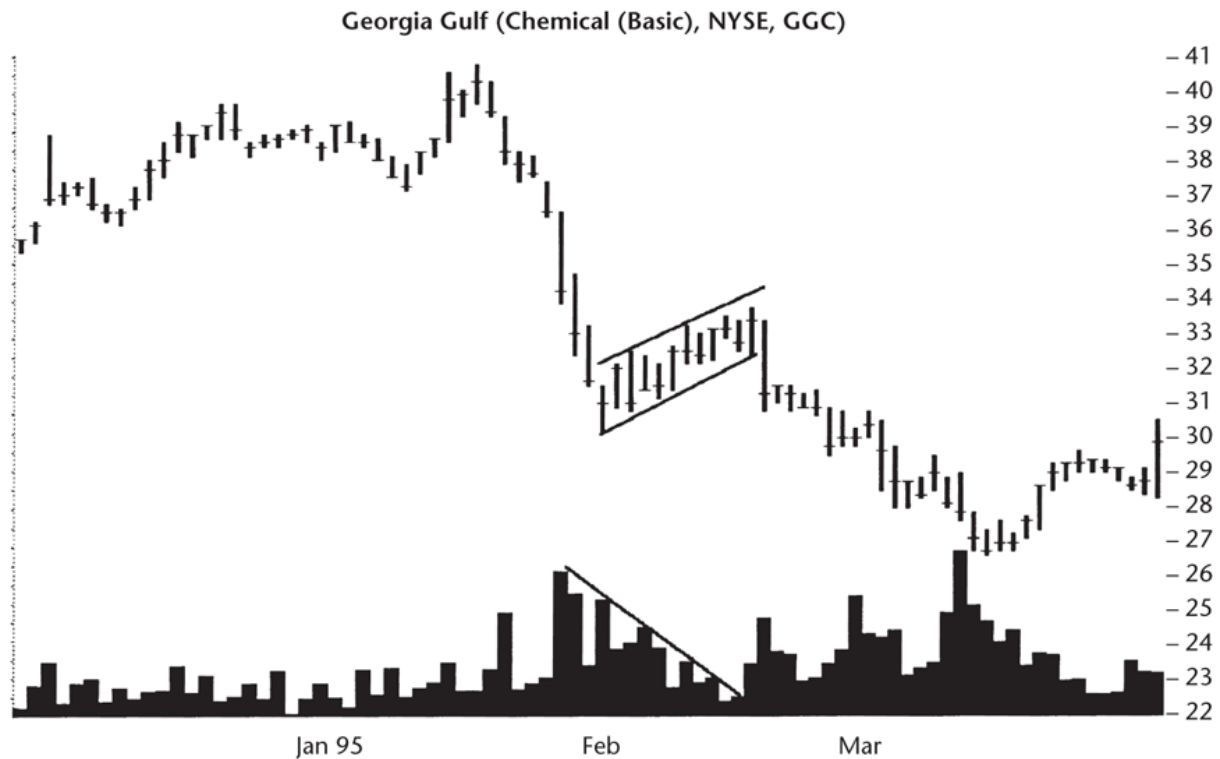


Figure 34.3 This flag appears about midway in a downtrend.

[Figure 34.2](#), for example, has a nice flagpole in the right (March) flag, starting at A. Price rises smartly in a brisk upward move. The left flag (August) I would probably discard because the 1-day price drop leading to the start of the flag isn't long enough. Even so, the flag pattern is pretty, with a nice tight-looking upward retrace.

Price trend, flagpole. Reliable flags appear during steep price trends (forming a flagpole). The trends might be up or down, but price rises or falls quickly, moving several points (depending on the price of the stock—it could be cents, not dollars) in just a few days to a few weeks. In [Figure 34.3](#), for example, the flagpole begins on 18 January and the flag begins on 1 February. In that short time, price tumbles from a high of 40.75 to a low of 30.13.

Notice how the price trend in the flag slopes upward. This behavior is typical for the prevailing price trend (that is, flags typically form against the trend, but not always).

Volume. The volume trend nearly always recedes over the flag portion of the pattern. However, this is not an inviolate rule, but usually is the case.